

mowing features. Considering the check you just found, what is the probability that you will go ahead and purchase the A305?

- a. 100 percent.
- b. 50 percent.
- c. 0 percent.

Test Results Analysis

Question 1—Parts A and B: Most people would probably drive an extra 10 minutes to save \$30 on the television but wouldn't go to the same trouble to save the same amount of money on the table. While both scenarios net a savings of \$30, a typical mental accounting scheme doesn't envision things this way. So people who are more likely to go out of their way to receive a discount in Part A than in Part B are likely susceptible to mental accounting bias.

Question 2—Parts A and B: If the respondent is like most people, he or she answered "no" to the first question and "yes" to the second, even though both scenarios present the same prospect: an initial loss of \$100, an additional \$100 outlay for the ticket. Mental accounting causes people to perceive in the first scenario an aggregate cost of \$200 for the show—two tickets, each costing \$100. Conversely, for most people the loss of \$100 cash and the additional \$100 ticket price are somehow separate in the second scenario. Mentally, these sums are debited from two independent categories or accounts, meaning that no single, larger loss of \$200 ever registers. In both cases, of course, the concert costs \$200. If the respondent indicated a greater willingness to pay for a ticket in Part B than in Part A, then mental accounting bias is likely present.

Question 3—Parts A and B: Most people would answer "yes" in Part A and "no" in Part B. They would be willing to allocate the bingo winnings but not the check from mom toward the purchase of the premium lawn mower. This is because most people engage in mental accounting. In this instance, mental accounting values dollars obtained from different sources differently. However, money is indeed fungible. Responses demonstrate that this all-too-typical inconsistency between Parts A and B probably indicates mental accounting bias.

ADVICE

The following advice has been incremented to correspond to each of the five investment errors discussed in the box earlier. It is important to note that mental accounting is very common and that nearly everyone is susceptible